the dollars for rupees with the Reserve Bank at a premium. Raghu was kind enough to offer that I announce these measures before signing off. But I thought that the measures would be more effective if he announced them as the incoming governor. At least on this issue, my judgement worked!

Do Nothing in Defence of the Exchange Rate?

Let me conclude my experiences of steering the rupee in turbulent waters by reiterating a standard dilemma. Given my position that a sharp correction of the exchange rate was programmed and forex intervention by the Reserve Bank would only postpone the inevitable, wouldn't it have been more rational to just stay put till the adjustment had been complete?

Albert Edwards of Société Générale had an interesting analogy from football. 'When there are problems, our instinct is not just to stand there but to do something. When a goalkeeper tries to save a penalty, he almost invariably dives either to the right or the left. He stays in the centre only 6.3 per cent of the time. However, the penalty taker is just as likely (28.7 per cent of the time) to blast the ball straight in front of him as to hit it to the right or left. Thus, to play the percentages, goalkeepers will be better off staying where they are about a third of the time. They would make more saves.'

But goalkeepers rarely do that. Because it is more embarrassing to stand there and watch the ball hit the back of the net than do something (such as dive to the right or left) and watch the ball hit the back of the net.

The Reserve Bank is like a football goalkeeper. It knows that 'do nothing' is the best course. But it can't just stand pat.[5, 6]